Notification Waiver Determination

Coles – supermarket site in Narangba East, Qld

Acquisition	Coles Supermarkets Australia Pty Ltd applied for a notification waiver in respect of its proposal to enter into an agreement for lease in respect of a new supermarket site at a neighbourhood centre being developed in Narangba East (the **Narangba East Site**), as described in the documents provided as part of the application (the **Acquisition**).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABV(1)(b) of the *Competition and Consumer Act 2010* (Cth) not to make the notification waiver determination applied for.
Date of determination	20 October 2026

Parties to the Acquisition	The acquirer, Coles Group Limited (**Coles**) is an Australian public company (ASX: COL) that primarily operates: • supermarkets nationwide through its subsidiary, Coles Supermarkets Australia Pty Ltd; and • retail liquor stores nationwide, trading under the Liquorland, Liquorland Warehouse and Liquorland Cellars brands. Coles also has a property development arm, Coles Group Property Developments Ltd, that buys land and constructs shopping centres, standalone supermarkets and / or liquor outlets and then sells these completed sites to third party buyers. The vendor, Consolidated Properties Group Pty Ltd, is an Australian development company with experience developing residential, commercial and retail projects. A wholly owned subsidiary of Consolidated Properties Group Pty Ltd, Option Co Pty Ltd, is the proposed lessor in respect of the Narangba East Site. The land subject to the Acquisition is located in the eastern part of Narangba, a suburb approximately 38 km north of the Brisbane CBD. Coles Supermarkets Australia Pty Ltd originally entered into a letter of offer with the lessor in late 2024 for a supermarket at a different location within the same neighbourhood centre. The leasehold interest would be an input into Coles' supermarket retailing operations. Coles also currently has another store under construction in the Narangba area.
Explanation for determination	In making this notification waiver determination, the Australian Competition and Consumer Commission (**ACCC**) has considered the information provided with the notification waiver application and had regard to the factors in section 51ABV(2)(b) of the Act.

	Based on the information provided in the application, the ACCC considers that the Acquisition may raise competition issues given: a. Coles' share in the supply of grocery products within a 3km radius of the Narangba East Site is expected to be substantial if the proposed supermarket opens b. if the Coles supermarket under construction in Narangba also opens, Coles would operate two supermarkets within a 5 km radius of each other, increasing Coles' presence in the local area c. the extent to which Coles is likely to be constrained by alternative grocery retailers in and around the surrounding local area is uncertain d. the Acquisition may result in a loss of future competition because Coles' expansion in the Narangba East local and surrounding area may disincentivise alternative grocery retailers from entering the local area. The ACCC considers that these potential competition issues warrant consideration through the notification process, including via consultation with third parties. The ACCC does not consider it necessary to reach a concluded view on the likelihood of the notification thresholds determined under section 51ABP(1) being met. The ACCC observes there are separate notification requirements for supermarkets determined under section 51ABQ(1) but also does not consider it necessary to reach a concluded view on whether they apply. Given the above, the ACCC has determined not to make the notification waiver determination applied for. The ACCC considers that the determination is consistent with the object of the Act and the interests of consumers in promoting competition. For more information about the ACCC's approach to considering notification waiver applications and to assessing competition effects more generally, see the ACCC's guidance on notification waivers and merger assessment guidelines.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act